THE INFLATION-PROOF PLAYBOOK: 5 EXPERTS' SECRETS FOR 2025

What the pros are doing to beat inflation —and how you can too.

11 Pages

5 min read

Medium

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2025: The Year Inflation Fights Back?

- Inflation remains a significant concern, even as the Federal Reserve continues to adjust interest rates.

- Stock market highs and bitcoin's surge to $100,000 signal optimism, yet some investors remain cautious.

- Defensive strategies are gaining popularity among professionals aiming to protect their portfolios in 2025.

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Greg Lippmann's Big Bet: Rising Rates Are No Joke!

- Greg Lippmann, known for his unconventional bets, is hedging against rising interest rates.
- His firm, LibreMax, holds 50% more interest-rate swaps than usual to prepare for potential rate spikes.
- Lippmann warns of complacency, citing risks of the 10-year Treasury yield hitting 5% or more.

Chief Investment Officer
- LibreMax Capital

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Mina Pacheco Nazemi's Infrastructure Goldmine

- Mina Pacheco Nazemi advises investing in infrastructure projects and real assets to combat inflation.
- She highlights sectors like data centers, renewable energy, and industrial batteries as resilient investments.
- These assets cater to the growing demand for bandwidth and power, driven by technology and remote work.

Head of Barings' Diversified Alternative Equity team

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Will Smith: Going Global to Beat Inflation

- Tim Schmidt emphasizes caution in corporate investments, focusing on fixed-rate private bonds.
- He notes that floating-rate debt, such as syndicated loans, poses higher default risks in rising rate environments.
- Prudential Financial's strategy prioritizes quality credits while minimizing exposure to volatile private debt markets.

Chief Investment Officer - Prudential Financial

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Will Smith's Diversification

- Will Smith is pivoting toward international bonds to find better value and reduce risk.

Director of High-Yield Credit at AllianceBernstein

- Emerging markets now account for 11% of his portfolio, reflecting a shift from U.S. high-yield bonds.

- He believes international growth and lower inflation risk make these bonds more attractive in 2025.

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Sonal Desai's Reality Check: Inflation Isn't Going Anywhere

- Sonal Desai predicts persistent inflation, keeping rates higher than the Federal Reserve's target.

Chief Investment Officer of Fixed Income at Franklin Templeton

- She argues that fixed-income securities provide stable income, even if capital gains are limited.
- Her advice? Stay invested in bonds rather than holding cash, which may lose value in a high-inflation climate.

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Inflation's Secret Weapons: Policies That Keep Prices High

- Economic policies like tariffs and labor shortages are fueling inflationary pressures.
- Rising costs for essentials like housing, food, and utilities are squeezing household budgets.
- Experts worry these factors could sustain inflation at uncomfortable levels in the coming years.

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Real Assets, Real Returns: The Inflation Shield You Need

- Real assets, including infrastructure and renewable energy, offer inflation-resilient opportunities.
- These investments tend to hold their value as costs rise, providing stability in uncertain markets.
- Industries like AI, gaming, and remote work drive demand for these critical assets.

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Private Debt: A Risky Business

- Floating-rate private debt is especially vulnerable to interest rate hikes.
- Default rates for private debt reached 4.7% in 2024, over double that of fixed-rate junk bonds.
- Tim Schmidt advises focusing on fixed-rate private bonds to reduce risk and ensure stable returns.

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Emerging Markets: The Land of Opportunity?

- International bonds, especially in emerging markets, present opportunities for higher yields.
- Lower inflation risks abroad make these bonds attractive compared to U.S. corporate debt.
- Diversifying geographically helps investors manage risks while capturing global growth potential.

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Take a moment to reflect...

Are real assets like infrastructure and renewables the ultimate hedge against inflation, or are we overlooking potential risks in these investments?"

Are floating-rate debts like syndicated loans worth the risk in a rising rate environment, or do fixed-income strategies offer the most sustainable path forward?

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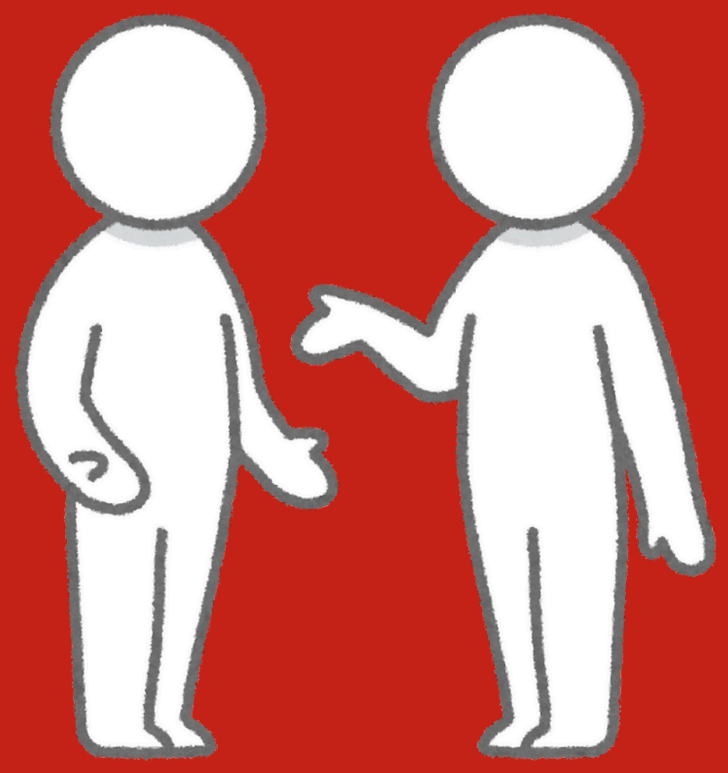
Read.

Reflect.

Rise.



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